



Rating
Buy

Asia
China

Technology
Software & Services

Company
ZKH

Reuters
ZKH.N

Bloomberg
ZKH US

Exchange
NYS

Ticker
ZKH

Date
22 August 2026

Forecast Change

Price at 20 Aug 2026 (USD)	2.90
Price target - 12mth (USD)	4.80
52-week range (USD)	3.79 - 2.06
Unavailable	25,698

Growth reaccelerated and stronger margin improvement

Momentum appears sustainable into 2H

ZKH's recovery continued in 2Q, with GMV and revenue growth accelerating to 19% and 13% YoY, respectively, supported by broad-based gains across KA, SME, and SOE customers. Margin improvement exceeded our expectations, reflecting a more favorable customer and product mix and better operating efficiency. We raise our FY26 revenue forecast by 3% and adjusted NPM forecast by 10 bps. We now expect 18% GMV growth, 13% revenue growth, and adjusted NPM of 140 bps in 2026. We maintain our US\$4.8 target price and Buy rating, underpinned by the continued digitalization of China's MRO procurement market.

Verticals: broad-based growth across customer segments

In 2Q, GMV increased by double digits among KA customers, 30% YoY among SMEs, and more than 20% among SOEs. By industry, steel and ferrous metals GMV doubled YoY, while communications, electronics, fine chemicals, pharmaceuticals, and utilities each grew by more than 30%.

Private labels: steady growth and rising penetration

Private-label GMV grew by more than 25% YoY in 2Q26 and accounted for 10% of total GMV, up from 9.7% in 1Q. ZKH launched more than 700 new private-label SKUs and reiterated its long-term target of 30% GMV penetration.

AI: broadening capabilities through a dedicated subsidiary

The "AI Materials Manager" now serves more than 8,600 customers and has begun generating revenue. ZKH is also collaborating with Intel on an industrial vision edge model and deepening integration with domestic chipmakers. The planned independent AI subsidiary should enhance strategic flexibility while preserving synergies with the parent company.

International: rapid expansion, with profitability expected in 2H

1H overseas GMV exceeded RMB 95mn, representing a tenfold YoY increase. ZKH continues to support the global expansion of Chinese manufacturers while building localized capabilities in key markets. With disciplined investment and a continued focus on ROI, management expects the international business to achieve profitability in 2H.

Valuation & Risks

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Research Analyst
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Key changes

Sales (FYE)	9,811 to 10,130	↑	3.3%
Adjusted OP Income (FYE)	68.5 to 77.0	↑	12.4%
Adjusted Net profit (FYE)	127.3 to 140.0	↑	10.0%

Source: Deutsche Bank

Price/price relative



Performance (%)	1m	3m	12m
Absolute	-2.0	-1.7	-3.0
HANG SENG INDEX	2.2	0.2	2.1

Source: Deutsche Bank

Key indicators (FY1)

ROE (%)	2.8
Net debt/equity (%)	-27.2
Book value/share (CNY)	19.21
Price/book (x)	1.0
Net interest cover (x)	—
Operating profit margin (%)	0.2

Source: Deutsche Bank

Deutsche Bank AG/Hong Kong

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2Q26 key takeaways

- ZKH's total GMV grew 18.9% YoY to RMB2,877.5mn and net revenues rose 12.8% YoY to RMB2,443.8mn. ZKH platform GMV expanded 22.9% YoY to RMB2,635.0mn, while GBB platform GMV fell 12.1% to RMB242.5mn and GBB product revenue dropped 7.3%. GMV of marketplace model surged 50.7% YoY to RMB431.5mn, lifting its mix to 15.0% of total GMV, though the take rate declined to 11.8% (from 14.2% in 2Q25).
- ZKH reported its first-ever quarterly operating income of RMB4.0mn (0.2% margin), swinging from an operating loss of RMB72.0mn in 2Q25. Non-GAAP adjusted net profit was RMB38.5mn (1.6% margin) vs. an adjusted net loss of RMB36.5mn in 2Q25. Total operating expenses fell 0.8% YoY to RMB425.6mn despite 12.8% revenue growth, with the opex ratio improving 2.4ppt YoY to 17.4%. By line item, fulfillment, sales & marketing, R&D and G&A expense ratios declined by 0.5ppt, 0.7ppt, 0.5ppt and 0.7ppt YoY, respectively.
- Gross profit grew 20.3% YoY to RMB429.6mn, outpacing revenue. Gross margin was 17.6% (+1.1ppt YoY). Private-label GMV grew by over 25% YoY to c.10% of total GMV, supported by more than 700 new SKUs launched in the quarter.
- Total customers dipped 1.7% YoY to 73,547, but SME GMV jumped c.30% YoY, while KA and central SOE GMV sustained double-digit growth.
- ZKH launched "Domino," an industrial supplies data engine powered by the industry's first billion-parameter industrial supplies knowledge graph. AI Materials Manager users grew by over 200% YoY to more than 8,000. Internally, AI now supports more than 70% of R&D coding and generated an estimated 12,759 hours of productivity gains in the quarter.
- International GMV grew tenfold YoY in 1H26. The domestic network comprised more than 30 DCs, 109 warehouses, and over 6,000 EVM smart vending machines at quarter-end, with a new hazardous-materials warehouse completed in Cangzhou. Fulfillment expenses fell to 3.7% of revenue (-0.5ppt YoY).

Shareholder returns

- ZKH had repurchased approximately 2.49mn ADSs for approximately US \$7.67mn as of June 30, 2026 under its US\$50mn program, which was extended through June 13, 2027.

2Q26 earnings review



Figure 1: 2Q26 earnings review

YE 31 Dec RMBm except for per share data	2Q26	vs. Previous Dbe		vs. Consensus	
		2Q26E	% diff	2Q26E	% diff
GMV	2,878	2,783	3%		
Net revenues	2,444	2,370	3%	2,372	3%
Growth, %	13%	9%	3%	9%	
Net product revenues	2,377	2,288	4%		
Net service revenues	51	70	-28%		
Other revenues	15	11	33%		
Gross profit	430	404	6%	404	6%
Gross margin, %	17.6%	17.1%		17.0%	
Operating profit (non GAAP)	16	9	84%	na	na
OP margin, non-GAAP%	0.6%	0.4%		na	
Net income (Non-GAAP)	38	23	65%	17	131%
Net margin, Non-GAAP, %	1.6%	1.0%		0.7%	

Source : Company data, Deutsche Bank estimates, Bloomberg Finance LP

Forecast changes

Figure 2: Earnings revisions and comparisons vs. consensus

YE 31 Dec RMBm except for per share data	Annual		vs. Previous Dbe				vs. Consensus			
	FY2026E	FY2027E	FY2026E	% diff	FY2027E	% diff	FY2026E	% diff	FY2027E	% diff
GMV	11,919	12,991	11,611	3%	12,656	3%				
Net revenues	10,130	10,986	9,811	3%	10,641	3%	9,950	2%	10,891	1%
Growth, %	13%	8%	9%		8%		11%		9%	
Net product revenues	9,819	10,643	9,504	3%	10,302	3%				
Net service revenues	262	293	263	0%	293	0%				
Other revenues	50	50	45	11%	45	11%				
Gross profit	1,729	1,929	1,661	4%	1,853	4%	1,691	2%	1,913	1%
Gross margin, %	17.1%	17.6%	16.9%		17.4%		17.0%		17.6%	
Operating profit (non GAAP)	77	187	68	12%	186	0%	na	na	na	na
OP margin, non-GAAP%	0.8%	1.7%	0.7%		1.7%		na		na	
Net income (Non-GAAP)	140	250	127	10%	245	2%	101	39%	227	10%
Net margin, Non-GAAP, %	1.4%	2.3%	1.3%		2.3%		1.0%		2.1%	

Source : Deutsche Bank estimates, Bloomberg Finance LP

Valuation and risks

We value ZKH using DCF methodology, employing a WACC of 8.5%, assuming a risk-free rate of 2.5%, an equity risk premium of 5%, and a 2% terminal growth rate, in line with long-term inflation. Key risks include (1) macroeconomic risks, (2) uncertainties relating to expansion of digital penetration in the MRO procurement sector, (3) competition, (4) fluctuations in supply or product quality, (5) other operating risks, and (6) regulation.



Model updated: 21 August 2026

Running the numbers

Asia
China
Software & Services

ZKH

Reuters: ZKH.N

Bloomberg: ZKH US

Buy

Price (20 Aug 26) USD 2.90

Target Price USD 4.80

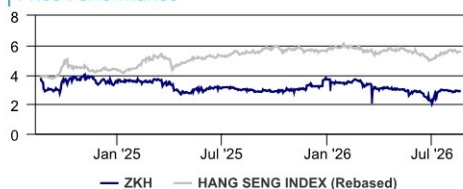
52 Week range USD 2.06 - 3.79

Market cap (m) USDm 466.5
EURm 399.3

Company Profile

ZKH operates as an MRO procurement service platform in China. The company provides one-stop MRO procurement and management services for customers and offer digital and fulfillment solutions for industry participants along the value chain.

Price Performance



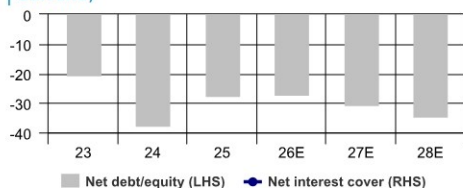
Margin Trends



Growth & Profitability



Solvency



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Fiscal year end 31-Dec

Financial Summary

	2023	2024	2025	2026E	2027E	2028E
DB EPS (CNY)	-6.58	-0.97	-0.53	0.87	1.55	1.82
Reported EPS (CNY)	-22.08	-1.64	-0.86	0.53	1.18	1.43
DPS (CNY)	0.00	0.00	0.00	0.00	0.00	0.00
BVPS (CNY)	73.5	18.9	18.1	19.2	20.8	22.6
Weighted average shares (m)	44	164	162	161	161	161
Average market cap (CNYm)	4,874	10,385	3,686	3,137	3,137	3,137
Enterprise value (CNYm)	3,334	8,675	2,054	1,470	1,282	1,054

Valuation Metrics

P/E (DB) (x)	nm	nm	nm	22.4	12.6	10.7
P/E (Reported) (x)	nm	nm	nm	36.9	16.5	13.7
P/BV (x)	1.57	1.34	1.46	1.02	0.94	0.86
FCF Yield (%)	nm	1.4	nm	1.1	6.0	7.3
Dividend Yield (%)	0.0	0.0	0.0	0.0	0.0	0.0
EV/Sales (x)	0.4	1.0	0.2	0.1	0.1	0.1
EV/EBITDA (x)	nm	nm	nm	17.8	6.6	3.8
EV/EBIT (x)	nm	nm	nm	66.7	10.1	5.1

Income Statement (CNYm)

Sales revenue	8,721	8,761	8,988	10,130	10,986	11,804
Gross profit	1,452	1,510	1,476	1,729	1,929	2,096
EBITDA	-325	-284	-165	83	193	276
Depreciation	73	55	48	61	66	71
Amortisation	0	0	0	0	0	0
EBIT	-399	-339	-213	22	127	206
Net interest income(expense)	34	45	39	23	23	24
Associates/affiliates	0	0	0	0	0	0
Exceptionals/extraordinary	-660	0	0	0	0	0
Other pre-tax income/(expense)	60	26	36	40	40	40
Profit before tax	-305	-267	-139	85	190	270
Income tax expense	0	1	1	0	0	40
Minorities	-1	0	0	0	0	0
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	-964	-268	-140	85	190	229
DB adjustments (including dilution)	677	109	54	55	60	64
DB Net profit	-288	-160	-86	140	250	293

Cash Flow (CNYm)

Cash flow from operations	-568	229	9	94	254	299
Net Capex	-51	-81	-50	-61	-66	-71
Free cash flow	-619	148	-41	33	188	228
Equity raised/(bought back)	386	-10	-39	0	0	0
Dividends paid	0	0	0	0	0	0
Net inc/(dec) in borrowings	335	-234	-66	0	0	0
Other investing/financing cash flows	-857	363	-279	0	0	0
Net cash flow	-755	267	-424	33	188	228
Change in working capital	-415	272	19	-107	-61	-65

Balance Sheet (CNYm)

Cash and other liquid assets	1,250	1,517	1,092	1,126	1,314	1,542
Tangible fixed assets	145	184	186	186	186	186
Goodwill/intangible assets	51	47	53	53	53	53
Associates/investments	874	544	825	825	825	825
Other assets	5,066	4,320	4,373	4,853	5,190	5,528
Total assets	7,387	6,611	6,530	7,043	7,569	8,135
Interest bearing debt	585	351	285	285	285	285
Other liabilities	3,590	3,162	3,304	3,668	3,944	4,217
Total liabilities	4,175	3,513	3,589	3,953	4,229	4,502
Shareholders' equity	3,211	3,098	2,941	3,090	3,340	3,633
Minorities	0	0	0	0	0	0
Total shareholders' equity	3,211	3,098	2,941	3,090	3,340	3,633
Net debt	-665	-1,166	-807	-841	-1,029	-1,257

Key Company Metrics

Sales growth (%)	4.9	0.5	2.6	12.7	8.4	7.5
DB EPS growth (%)	60.2	85.2	45.7	na	78.5	17.4
EBITDA Margin (%)	-3.7	-3.2	-1.8	0.8	1.8	2.3
EBIT Margin (%)	-4.6	-3.9	-2.4	0.2	1.2	1.7
Payout ratio (%)	nm	nm	nm	0.0	0.0	0.0
ROE (%)	-30.5	-8.5	-4.6	2.8	5.9	6.6
Capex/sales (%)	0.6	0.9	0.6	0.6	0.6	0.6
Capex/depreciation (x)	0.8	1.5	1.1	1.0	1.0	1.0
Net debt/equity (%)	-20.7	-37.6	-27.5	-27.2	-30.8	-34.6
Net interest cover (x)	nm	nm	nm	nm	nm	nm

Source: Company data, Deutsche Bank estimates



Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist			
Company	Ticker	Recent price*	Disclosure
ZKH	ZKH.N	2.9 (USD) 20 Aug 2026	1, 2, 7, 8, 15, 24, 26

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at <https://research.db.com/Research/Disclosures/EquityResearchDisclosures>. Aside from within this report, important risk and conflict disclosures can also be found at <https://research.db.com/Research/Disclosures/Disclaimer>. Investors are strongly encouraged to review this information before investing.

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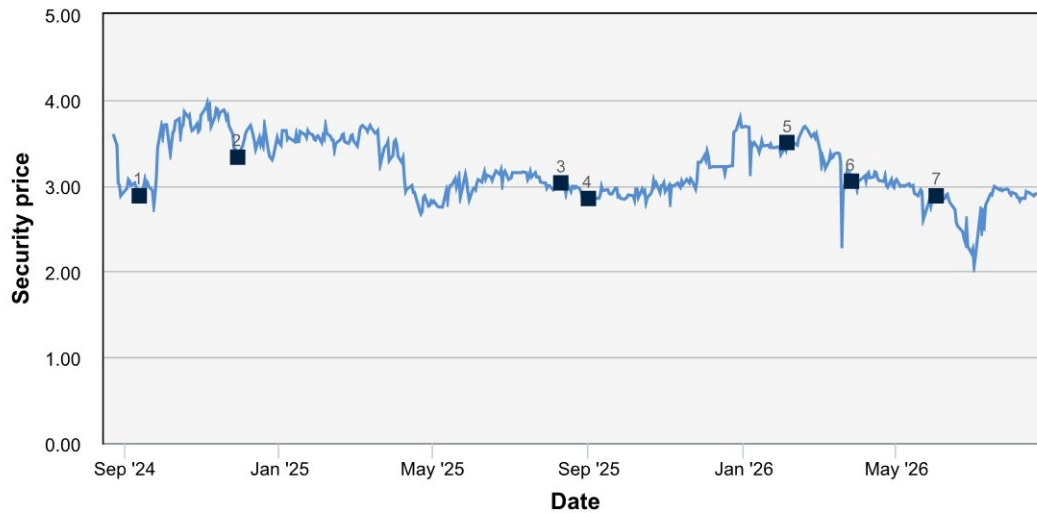
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Historical recommendations and target price: ZKH (ZKH.N)

(as of 08/20/2026)



Current Recommendations

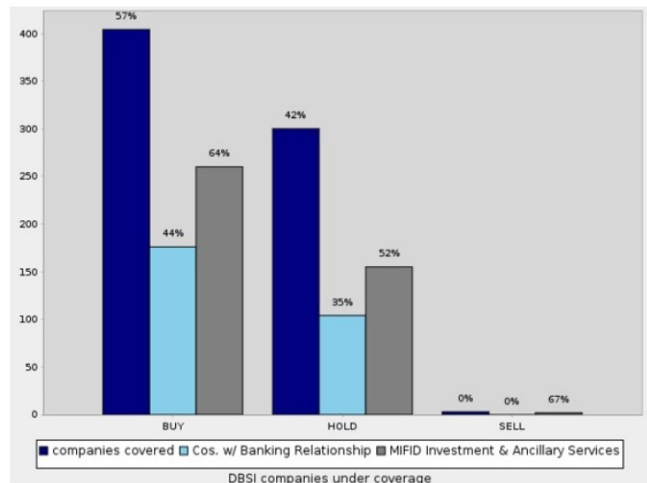
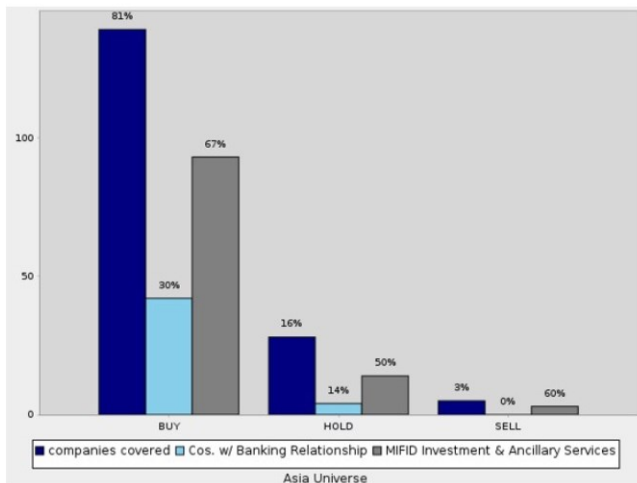
Buy
Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

1.	09/13/2024	Buy, Target Price Change USD 5.00, Current Price USD 2.88 Leo Chiang, CFA	5.	02/05/2026	Buy, Target Price Change USD 4.50, Current Price USD 3.50 Leo Chiang, CFA
2.	11/29/2024	Buy, Target Price Change USD 4.50, Current Price USD 3.33 Leo Chiang, CFA	6.	03/27/2026	Buy, Target Price Change USD 4.60, Current Price USD 3.05 Leo Chiang, CFA
3.	08/11/2025	Buy, Target Price Change USD 4.20, Current Price USD 3.03 Leo Chiang, CFA	7.	06/02/2026	Buy, Target Price Change USD 4.80, Current Price USD 2.88 Leo Chiang, CFA
4.	09/01/2025	Buy, Target Price Change USD 4.00, Current Price USD 2.85 Leo Chiang, CFA			



Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the "buy" / "Companies Covered" bar means that 50% of DB's equity research covered companies over the past 12 months have a "buy" rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold" recommendations where Deutsche Bank and/or Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the "Cos. w/ MIFID Investment and Ancillary Services" bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

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Buy: Based on a current 12-month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

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